



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the Nine Months Ended 31 December 2020

ORIENT FINANCE PLC
INCOME STATEMENT

For the	03 Months Ended 31st December		09 Months Ended 31st December	
	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.
	Unaudited	Unaudited	Unaudited	Unaudited
Income	729,954,983	852,482,908	1,913,350,394	2,484,613,461
Interest income	675,806,511	801,283,448	1,775,426,732	2,328,954,077
Interest expenses	(316,305,218)	(423,334,302)	(1,029,348,358)	(1,373,727,900)
Net interest income	359,501,293	377,949,146	746,078,375	955,226,177
Fee and commission income	31,611,146	39,300,801	90,402,371	113,927,088
Other operating income	22,537,327	11,898,659	47,521,291	41,732,296
Total operating income	413,649,765	429,148,606	884,002,036	1,110,885,561
Impairment charges for loans and receivables to customers	(67,887,182)	(296,260,868)	(132,650,293)	(725,994,013)
Net operating income	345,762,583	132,887,738	751,351,744	384,891,548
Operating expenses				
Personnel expenses	(103,768,783)	(118,797,598)	(310,557,280)	(343,870,281)
Depreciation and amortization	(8,852,435)	(8,596,344)	(26,114,252)	(25,217,737)
Other operating expenses	(131,733,249)	(119,626,179)	(329,170,074)	(357,503,474)
Operating profit/(loss) before Value Added Tax	101,408,117	(114,132,383)	85,510,137	(341,699,944)
Value Added Tax and NBT on financial services	(30,709,121)	(1,982,949)	(35,588,125)	(7,951,337)
Profit/(loss) before income tax	70,698,996	(116,115,332)	49,922,012	(349,651,281)
Income tax expense	(4,779,797)	-	(4,779,797)	-
Profit/(loss) for the period	65,919,198	(116,115,332)	45,142,215	(349,651,281)
Other comprehensive income/(expenses)				
Change in fair value of financial assets at fair value through other comprehensive income	0	(3,064,925)	-	3,110,680
Total comprehensive income/(expenses) for the period net of tax	65,919,198	(119,180,257)	45,142,215	(346,540,601)
Weighted Average Earnings Per Share (Rs.)	0.32	(0.74)	0.22	(2.23)
Diluted earnings per share (Rs.)	0.32	(0.74)	0.22	(2.23)

Figures in brackets indicate deductions.

Colombo
12th February 2021

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At	31st December 2020 Rs. Unaudited	31st March 2020 Rs. Audited
ASSETS		
Cash and cash equivalents	282,336,939	70,618,412
Financial assets - fair value through other comprehensive income	563,973,744	934,478,086
Loans and receivables to customers	11,848,520,909	12,339,298,071
Investments with banks and other financial institutions	30,639,629	82,492,401
Other assets	339,862,649	279,432,153
Real estate stock	17,769,709	16,772,709
Deferred tax asset	370,887,353	370,887,353
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	805,470	805,470
Property, plant and equipment	72,239,173	75,180,798
Right of use assets	128,894,557	128,894,557
Investment properties	538,250,002	538,250,002
Total assets	14,994,605,880	15,637,535,758
LIABILITIES		
Due to banks - bank overdrafts	337,770,633	265,514,298
Deposits from customers	8,799,300,426	9,020,632,231
Interest bearing borrowings	2,530,185,369	3,038,038,298
Right-of-use of Liability	117,941,195	117,941,195
Other liabilities	407,447,408	442,612,869
Retirement benefit obligations	46,609,025	42,587,258
Total liabilities	12,239,254,056	12,927,326,149
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	311,080,742	311,080,742
Revaluation reserve	141,120,773	141,120,773
Retained earnings/(accumulated losses)	(128,728,730)	(173,870,945)
Total equity	2,755,351,824	2,710,209,609
Total equity and liabilities	14,994,605,880	15,637,535,758
Net assets per share	13.05	12.84

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

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Sanjeeva Jayasinghe
Head of Finance

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K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

.....
Mr. Anil Tittawella
Chairman

.....
Mr. Prakash Schaffter
Director

Colombo
12th February 2021

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the period ended 31st December 2020

	Stated Capital	Statutory reserve fund	Revaluation reserve	Fair value reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01st April, 2019	1,378,689,779	306,478,542	141,120,773	1,069,031	339,141,684	2,166,499,809
Profit/(Loss) for the nine months	-	-	-	-	(349,651,281)	(349,651,281)
Other comprehensive income (expense) net of taxes	-	-	-	3,110,680	-	3,110,680
<u>Transactions with Equityholders</u>						
Conversion of Preference Share Capital to Ordinary Shares	470,038,111					470,038,111
Conversion of Accrued Preference Share Interest to Ordinary Shares	76,508,375					76,508,375
Write off of share premium generated in share conversion	-				(70,141,811)	(70,141,811)
Balance as at 31st December 2019	1,925,236,265	306,478,542	141,120,773	4,179,711	(80,651,408)	2,296,363,883
Balance as at 01st April, 2020	2,431,879,039	311,080,742	141,120,773	-	(173,870,945)	2,710,209,609
Profit/(Loss) for the nine months	-	-	-	-	45,142,215	45,142,215
Balance as at 31st December 2020	2,431,879,039	311,080,742	141,120,773	-	(128,728,730)	2,755,351,824

Figures in brackets indicate deductions.

Colombo
12th February 2021

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the period ended 31st December

	31st Dec 2020 (Unaudited) Rs.	31 Mar 2020 (Audited) Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	49,922,012	(424,447,082)
Adjustment for:		
Depreciation/amortization	26,114,252	34,401,264
Profit on disposal of property, plant and equipment	(162,451)	(260,675)
Impairment charges for loans and receivables to customers	132,650,293	1,014,789,196
Finance expenses	1,029,348,358	1,780,679,307
Investment income	(36,094,860)	(114,577,128)
Provision for gratuity	12,879,000	10,217,160
Right of Use Asset Depreciation	-	29,183,673
Right of Use Asset Finance Cost	-	19,028,537
Operating profit/(Loss) before working capital changes	1,214,656,604	2,349,014,252
Change in loans and receivables to customers	358,126,872	542,022,391
Change in other assets	(60,430,497)	(27,039,326)
Change in deposits from customers	(208,431,805)	(1,434,715,124)
Change in other liabilities	(130,262,667)	6,281,696
	1,173,658,507	1,435,563,889
Rent Paid	(49,963,732)	(59,165,572)
Interest paid	(754,635,470)	(1,295,885,791)
Gratuity paid	(9,148,833)	(18,655,827)
Net cash from/(used in) operating activities	359,910,472	61,856,699
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	2,941,625	(30,740,368)
Proceeds from sale of property, plant and equipment	-	282,706
Net change in available for sale financial assets	370,504,342	1,392,493
Net change in investments with bank and other financial institutions	51,852,772	203,380,071
Investment income received	36,094,860	114,957,986
Net cash generated from/(used in) investing activities	461,393,598	289,272,888
Cash flows from financing activities		
Interest bearing borrowings obtained	2,935,690,602	7,283,733,569
Repayment of interest bearing borrowings	(3,363,810,618)	(6,359,055,739)
Interest Paid on Borrowings	(253,721,863)	(398,979,517)
Interest paid on debentures	-	(90,195,165)
Redemption of Preference shares	-	(59,289,140)
Redemption of Debentures	-	(1,000,000,000)
Right issue of shares	-	506,642,774
Net cash generated from/(used in) financing activities	(681,841,879)	(117,143,218)
Net change in cash and cash equivalents	139,462,191	233,986,369
Cash and cash equivalents at the beginning of the period	(194,895,886)	(428,882,252)
Cash and cash equivalents at the end of the period (Note A)	(55,433,695)	(194,895,883)
Analysis of cash and cash equivalents at the end of the period		
Cash in hand	106,247,735	62,617,606
Cash at bank	176,089,204	8,000,806
Bank overdrafts - secured	(337,770,633)	(265,514,298)
	(55,433,695)	(194,895,886)

Figures in brackets indicate deductions.

Colombo

12th February 2021

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2020. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 According to the CBSL circular No.05 of 2020 company applied only up to 11.5% p.a. interest rate for the moratorium granted contracts and as a result of that Rs.243,080,000.00 income had foregone for the 9 months ended December 2020.
- 5 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2020.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital

Value of Ordinary Shares (Rs.)
No. of Ordinary Shares

31-Dec-20

2,431,879,039
211,101,155

31-Dec-19

1,925,236,265
175,917,629

Share Price During the Period

Highest (Rs)
Lowest (Rs)
Closing (Rs)

For the Quarter Ended

31-Dec-20

12.80
8.00
11.80

31-Dec-19

14.90
11.00
11.90

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 31 December 2020**

	Name	No. of Shares	%
1	Janashakthi PLC Account No 01	95,455,437	45.22
2	Seylan Bank PLC/Janashakthi PLC (Collateral)	90,000,000	42.63
3	Commercial Bank of Ceylon PLC/Janashakthi PLC	10,555,057	5.00
4	First Capital PLC	2,138,299	1.01
5	Seylan Bank Plc/ S.R. Fernando	728,492	0.35
6	Mr.L.P.Mendis	696,103	0.33
7	Mr.R.A.B.K. Kumara	500,000	0.24
8	Mr. K.S.S. Peris	384,068	0.18
9	Mr.N.L.S.Fernando	377,677	0.18
10	M/S Commercial Credit And Finance Plc	330,000	0.16
11	Mr. A.S.A.Fernando	316,100	0.15
12	M/S Merchant Bank of Sri Lanka & Finance PLC	275,000	0.13
13	Seylan Bank PLC/Karagoda Loku Gamage Udayananda	231,365	0.11
14	Mr. R.M.P. Dayawansa	229,253	0.11
15	Mrs.V.Saraswathi	216,445	0.10
16	DFCC Bank PLC/G.A.C. De Silva	211,000	0.10
17	Mr.M.K. De Livera	207,628	0.10
18	Mrs.M.N.S.Fernando	204,323	0.10
19	Mr.P.G. Piyasiri	202,668	0.10
20	Mr. S.D.S. Gunasekera	200,000	0.09
	Others	7,642,240	3.62
	Total	211,101,155	100.00

Directors' Shareholding as at 31 December 2020

	Name of the Director	No. of Shares	%
1	Mr. K. M. A. T. B. Tittawella - Chairman	-	-
2	Mr. Prakash Anand Schaffter	10	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
6	Mr. Ramesh Schaffter	10	-
7	Mr. Sriyan Cooray	-	-
8	Mr. K.M.M. Jabir	-	-
9	Mr. R.M.D.J.Ratnayake	-	-
	Mr.K.M.M.Jabir	-	-
	Total	20	

CEO's Shareholding as at 31 December 2020

Mr. K. M.M. Jabir	-	-
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Public Holding as at 31 December 2020

Number of Public Shareholders	12,952,282
Public Shareholding Percentage	967
Float Adjusted market capitalization (Rs)	6.14%
	152,947,009

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 4th June 2020. Accordingly, upon the expiry of the extension period, Orient Finance PLC is considered non-compliant and is entitled for a grace period of 6 months until 4th December 2020 to comply with the minimum public holding requirement. The Company is entitled for a further period of 3 months, until 4th March 2021, in accordance with the CSE circular 03-04-2020 dated 10th April 2020 extending the timelines for submission of Financial Statements and Enforcement Action.

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 31st Dec	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Total	
	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.
Interest income	1,319,728,003	1,787,551,614	117,826,033	248,163,926	17,406,927	44,474,631	320,465,769	248,763,906	1,775,426,732	2,328,954,077
Fee and commission income	79,013,217	102,808,222	2,094,986	6,871,165	2,007,679	4,247,701	7,286,488	-	90,402,371	113,927,088
Other income	34,764,191	36,384,442	3,273,403	2,187,990	804,118	574,174.00	8,679,580	2,585,690	47,521,291	41,732,296
Total segmental income	1,433,505,411	1,926,744,278	123,194,422	257,223,081	20,218,724	49,296,506	336,431,837	251,349,597	1,913,350,394	2,484,613,462
Less: Interest expense	(753,019,584)	(1,034,040,829)	(70,904,465)	(138,977,582)	(17,417,818)	(36,470,613)	(188,006,491)	(164,238,877)	(1,029,348,358)	(1,373,727,901)
Segmental results	680,485,827	894,703,450	52,289,957	118,245,499	2,800,906	12,825,892	148,425,346	87,110,720	884,002,036	1,112,885,561
Depreciation and amortization	(19,103,876)	(18,982,049)	(1,798,825)	(2,551,233)	(441,885)	(669,497)	(4,769,667)	(3,014,959)	(26,114,252)	(25,217,738)
Impairment charge	(116,345,813)	(558,179,330)	(10,955,144)	(112,717,477)	(5,349,336)	(50,262,211)	-	(4,834,995)	(132,650,293)	(725,994,013)
Other Expenses	(493,970,596)	(560,919,755)	(46,529,701)	(70,684,884)	(11,461,171)	(19,207,553)	(123,354,012)	(58,512,900)	(675,315,479)	(709,325,092)
Income tax	(3,552,967)	-	(317,211)	-	(46,863)	-	(862,757)	-	(4,779,797)	-
Profit/(loss) after tax	47,512,576	(245,377,684)	(7,310,923)	(67,708,095)	(14,498,349)	(57,313,369)	19,438,911	20,747,866	45,142,215	(349,651,282)
Segmental assets	11,492,650,172	12,012,539,767	1,082,150,097	1,614,514,321	205,174,030	423,682,199	2,214,631,581	1,907,976,921	14,994,605,880	15,958,713,208
Segmental liabilities	8,953,623,837	10,284,006,764	843,074,901	1,382,195,316	207,102,965	362,716,851	2,235,452,352	1,633,430,393	12,239,254,056	13,662,349,324